



IAG – RAC Insurance

MN-65005

This document contains a summary of the ACCC's reasons for its determination of 22 September 2026. This document does not constitute the statement of the ACCC's reasons for making the determination pursuant to sections 51ABZE(4)(b) and 51ABZZI(1)(b) of the *Competition and Consumer Act 2010* (Cth). The statement of the ACCC's reasons will be published separately following a review for confidential information.

Summary of Reasons

1. On 18 June 2025, Insurance Australia Group Limited (IAG) sought informal clearance from the Australian Competition and Consumer Commission (ACCC) in respect of IAG's proposal to acquire 100% of the issued share capital in RAC Insurance (RACI) from RACI Pty Ltd, a wholly owned subsidiary of the Royal Automobile Club of Western Australia Inc (RAC) (the Acquisition). On 11 December 2025, the ACCC announced it opposed the Acquisition.
2. Following the ACCC's opposition, IAG elected to notify the Acquisition under the new formal merger regime, which commenced on 1 January 2026. IAG lodged a notification with the ACCC in respect of the Acquisition. The effective notification date was 3 March 2026.
3. On 16 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently released a Notice of Competition Concerns on 25 May 2026.¹ The ACCC published a summary of the Notice of Competition Concerns on the Acquisitions Register on 25 May 2026.²
4. For the reasons described below, the ACCC has determined that the Acquisition must not be put into effect.
5. Currently, RACI underwrites and distributes motor vehicle insurance and home and contents insurance under the RAC brand in Western Australia. It is the largest insurer in these markets with a market share over 50% in motor vehicle insurance and almost 40% in home and contents insurance.

¹ ACCC, Phase 2 Decision, 16 April 2026. 65005.001.057.0001; ACCC, Notice of Competition Concerns, 25 May 2026. 65005.001.056.0001.

² ACCC, Notice of Competition Concerns – Summary, 25 May 2026. 65005.001.054.0001.

6. RACI places significant weight on the relationships it has with its customers as well as its repairers. RACI competes strongly with competitive pricing and high-quality service, including customers' claims experiences. It has also fostered strong working relationships with repairers.
7. IAG is one of the two largest general insurers in Australia and is also a strong insurer in Western Australia. It has a well-known brand in NRMA, strong IT capabilities, and access to capital.
8. A key consideration in this assessment is the likely position and competitiveness of RACI in the absence of the Acquisition. While RACI is likely to face increased expenses in the future, including higher claims costs, technology costs, and regulatory costs, the ACCC's assessment is that these will not impact RACI's financial and capital position to an extent that RACI would not continue to be an effective competitor in the counterfactual.
9. The ACCC's assessment of the evidence is that RACI will continue to compete vigorously and effectively in the supply of motor vehicle insurance and home and contents insurance in Western Australia in the future without the Acquisition. The ACCC considers that RACI has a strong financial position, is appropriately and adequately managing its capital position, reinsurance program and concentration risk, and is well placed to manage these and other industry challenges in the future without the Acquisition.
10. The Acquisition would combine these two large insurers, leaving the merged entity with overall market shares of approximately 55–65% in motor vehicle insurance and approximately 50–60% in home and contents insurance in Western Australia.
11. The Acquisition would eliminate the competitive pressure that RACI and IAG impose on each other in relation to price, coverage, service quality and commercial arrangements with repairers.
12. The ACCC carefully considered the level of competition provided by other insurers in Western Australia, including established insurers Suncorp, Allianz, and QBE, and mid-tier insurers Auto & General, Youi, and Hollard. The ACCC found that although there are multiple alternate insurers in Western Australia, there is still likely to be a significant loss in competition from the Acquisition. Most rival insurers have had considerable difficulty promoting their brand and growing their share in Western Australia, in part due to the difficulty in acquiring and retaining customers in that market as well as the fact that customers consider RACI's product and quality offering to be superior. Accordingly, the ACCC does not consider that any expansion by insurers currently operating in Western Australia would be sufficient to offset the loss in competition caused by the Acquisition.
13. The ACCC does not consider that timely and sufficient entry to competitively constrain the merged entity post-Acquisition is likely. Establishing a new brand, setting up a supply chain (including a network of assessors and repairers) and accessing claims data to assist with pricing are key obstacles. Following that, a new entrant would need to attract a sufficient customer base to achieve scale and compete effectively with the merged entity. New entrants will also face the same challenges in growing their brands, such as acquiring and retaining customers at scale, that are faced by the existing competitors in Western Australia.

14. In its assessment, the ACCC considered whether the Acquisition would allow the merged entity to restrict competing insurers' access to repair services, but did not find it had sufficient evidence to be satisfied that the merged entity would have the ability and incentive to engage in such conduct.
15. The ACCC also considered whether the merged entity would likely have the ability and incentive to exercise monopsony power in the acquisition of smash repair services in certain regions of Western Australia. The ACCC considered whether the merged entity could reduce its repair costs by reducing the quality of repair services acquired and subsequently, the quality-adjusted volume of repairs acquired below competitive levels. However, based on the material before it, the ACCC did not find it had sufficient evidence to be satisfied that the merged entity would likely have the ability and incentive to engage in such conduct.
16. For the reasons set out above, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in each of the motor vehicle insurance and home and contents insurance markets in Western Australia and has determined that the Acquisition must not be put into effect.
17. The ACCC's satisfaction is based on it having made a single evaluative judgement as to the likely effect of the Acquisition, having regard to the statutory framework, the evidence and submissions before it, the interests of consumers, and the object of the Act.